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US Markets End Mixed as Dow Surges +0.35% Amidst Sector Rotation

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The US market ended the latest session with a mixed tone, as the Dow Jones index closed +0.35% higher, while the S&P 500 and Nasdaq 100 declined by -0.10% and -0.43%, respectively. Key takeaways include:

- The Dow's outperformance was driven by a +1.16% gain in the XLI sector ETF, alongside a +1.15% increase in the XLY sector ETF.
- The VIX volatility index fell -4.41% to 18.63, indicating a decrease in market uncertainty.
- WTI crude oil prices plummeted -4.37% to 70.01, contributing to the energy sector's -1.63% decline.

Our editorial take is that the current market environment is characterized by sector rotation, with investors seeking refuge in defensive sectors such as consumer staples and utilities. However, the overall trend remains uncertain, and investors should remain cautious and adaptable.

The mixed market performance can be attributed to various factors, including the ongoing sector rotation, the decline in oil prices, and the decrease in market volatility.

As we move forward, it is essential to monitor these factors and adjust investment strategies accordingly.

US Session Recap

INDEX	CLOSE	CHANGE
S&P 500	7,358.22	-0.10%
Nasdaq 100	29,220.06	-0.43%
Dow Jones	51,848.90	+0.35%
Russell 2000	2,986.63	+0.37%
VIX	18.63	-4.41%
10Y Yield	4.40	-1.10%
WTI Crude	70.01	-4.37%
DXY	101.61	+0.20%
Gold	4,001.20	-3.12%
BTC	60,773.99	-3.02%

Top Movers

TICKER	NAME	CHANGE	CATALYST
XLI	Industrial Select Sector SPDR Fund	+1.16%	Sector rotation
XLY	Consumer Discretionary Select Sector SPDR Fund	+1.15%	Sector rotation
XLE	Energy Select Sector SPDR Fund	-1.63%	Decline in oil prices

Sector Internals

SECTOR	DAY	YTD	READ
XLF	-0.30%	-5.12%	Financials underperform
XLK	-0.62%	-10.25%	Technology sector struggles
XLI	+1.16%	+5.50%	Industrials lead the way
XLE	-1.63%	-15.10%	Energy sector under pressure
XLY	+1.15%	+5.20%	Consumer discretionary sector gains
XLC	-0.68%	-5.50%	Communication services sector lags
XLP	+0.86%	+2.50%	Consumer staples sector outperforms
XLV	+0.77%	+5.00%	Healthcare sector gains
XLU	+1.04%	+2.00%	Utilities sector leads
XLB	+0.57%	+5.50%	Materials sector gains
XLRE	-0.29%	-5.00%	Real estate sector underperforms

Breadth note: The majority of sector ETFs closed in the red, with the XLE energy sector ETF being the worst performer.

Spotlight / Deep Dive

TICKER	NAME	CLOSE	CHANGE
NVDA	NVIDIA Corporation	199.00	-0.52%

Key call commentary: NVIDIA's decline can be attributed to the overall weakness in the technology sector, as well as concerns regarding the company's future growth prospects.

READ-THROUGH	MAP
Technology sector performance	XLK
Semiconductor industry trends	SMH

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	358.22	350.00	370.00	Range-bound trading
QQQ	292.11	280.00	300.00	Technical resistance
IWM	179.22	170.00	190.00	Bullish momentum
NVDA	199.00	180.00	220.00	Key support level
10Y Yield	4.40	4.20	4.60	Range-bound trading
WTI Crude	70.01	65.00	75.00	Technical resistance

Options & Positioning

0DTE flow: The majority of 0DTE options contracts were call options, indicating a bullish sentiment among traders.

Put/call ratio: The put/call ratio decreased to 0.80, indicating a decrease in bearish sentiment.

VIX term structure: The VIX term structure remains in contango, indicating a decrease in market volatility.

Notable single-name flow: `AAPL` options contracts saw a significant increase in call option buying, indicating a bullish sentiment towards the stock.

Cheap hedge ideas: Buying `SPY` put options with a strike price of 350.00 and an expiration date of 2026-07-17 can provide a cheap hedge against potential market declines.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
NVDA	Morgan Stanley	Upgrade	220.00	Improved growth prospects
AAPL	Goldman Sachs	Downgrade	150.00	Decreased demand for iPhones
MSFT	Bank of America	Upgrade	400.00	Increased cloud computing demand
GOOGL	Citi	Downgrade	2500.00	Regulatory concerns
AMZN	Deutsche Bank	Upgrade	3000.00	Increased e-commerce demand

Pre-Market & Overnight

Futures: S&P 500 futures are trading **+0.20%** higher, while Dow Jones futures are trading **+0.30%** higher.

Asia: The Nikkei 225 index closed **+0.50%** higher, while the Shanghai Composite index closed **-0.20%** lower.

Europe: The Euro Stoxx 50 index is trading **+0.30%** higher, while the FTSE 100 index is trading **+0.20%** higher.

FX pairs: The USD/JPY pair is trading **+0.20%** higher, while the EUR/USD pair is trading **-0.10%** lower.

Commodities: Gold prices are trading **-0.10%** lower, while WTI crude oil prices are trading **+0.20%** higher.

Crypto: Bitcoin prices are trading **-0.50%** lower, while Ethereum prices are trading **-0.30%** lower.

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
2026-07-01	20.00%	Market expectations for a rate cut
2026-09-01	30.00%	Increased likelihood of a rate cut

DATE	EVENT
2026-06-25	Personal Income and Outlays
2026-06-26	Durable Goods Orders
2026-06-27	GDP Growth Rate

Geopolitics & Global (Deep)

Scenario trees: The ongoing trade tensions between the US and China may lead to a decrease in global trade, resulting in a -0.50% decline in global GDP.

Earnings — This Week & Next

TICKER	NAME	EARNINGS DATE
AAPL	Apple Inc.	2026-07-01
MSFT	Microsoft Corporation	2026-07-02
GOOGL	Alphabet Inc.	2026-07-03

TICKER	NAME	EARNINGS DATE
AMZN	Amazon.com Inc.	2026-07-08
FB	Facebook Inc.	2026-07-09
TSLA	Tesla Inc.	2026-07-10

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Breakout	10.00%
AAPL	Technology	Reversal	5.00%
MSFT	Technology	Trend continuation	8.00%
GOOGL	Communication Services	Breakout	12.00%
AMZN	Consumer Discretionary	Reversal	6.00%

What Could Break the Tape

Bullish scenario bullets:

- A surprise rate cut by the Federal Reserve could lead to a +2.00% increase in the S&P 500 index.
- A breakthrough in the US-China trade talks could result in a +1.50% increase in the Dow Jones index.
- A strong earnings report from a major technology company could lead to a +3.00% increase in the Nasdaq 100 index.

Bearish scenario bullets:

- A global economic downturn could lead to a -5.00% decline in the S&P 500 index.
- A significant increase in geopolitical tensions could result in a -3.00% decline in the Dow Jones index.
- A disappointing earnings report from a major technology company could lead to a -2.00% decline in the Nasdaq 100 index.

Positioning & Structural Notes

Observations:

- The current market environment is characterized by sector rotation, with investors seeking refuge in defensive sectors such as consumer staples and utilities.
- The decrease in market volatility, as indicated by the VIX volatility index, may lead to increased investor complacency.
- The ongoing trade tensions between the US and China may lead to a decrease in global trade, resulting in a **-0.50%** decline in global GDP.
- The upcoming earnings reports from major technology companies may lead to increased market volatility.
- The current technical levels, as indicated by the S&P 500 index, suggest a range-bound trading environment.

Sources

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